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Cambridge International AS Level

# BUSINESS 9609

## Knowledge Check – SET B

*Short recall questions for knowledge (AO1) marks*

### QUESTION PAPERS

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**For examination in October / November 2026**

**10 knowledge papers · 20 questions per paper · 200 questions**

#### How to use Set B

- Set B is a pure knowledge-recall companion to the Set A exam papers. Every question uses knowledge command words – Define, State, Identify, Outline and Distinguish – so you can check you know the key terms, facts and definitions for the whole AS syllabus.
- The 10 papers cover the syllabus section by section (1.1 through 5.5). A multi-part question, e.g. (a), (b), (c), counts as ONE question. Marks for each part are shown in brackets, e.g. [2].
- Answer every question quickly from memory, then check the companion MARK SCHEME. Anything you cannot answer instantly is a topic to revise.
- Target: aim to score at least 90%. Re-test any paper where you drop knowledge marks until recall is automatic.

**KNOWLEDGE PAPER B1****Enterprise (Syllabus 1.1)**

Suggested time: 35 minutes

**Total: 91 marks***Knowledge recall: nature of business activity, entrepreneurs & intrapreneurs, business plans.**Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].***SECTION K – Knowledge-recall questions****[91 marks]***Answer all questions in this section.*

- 1 (a) Define 'business activity'. [2]  
 (b) State the main purpose of business activity. [2]  
 (c) Define 'consumer goods'. [1]
- 2 (a) Define a 'need'. [1]  
 (b) Define a 'want'. [1]  
 (c) Distinguish between goods and services. [2]
- 3 (a) State the four factors of production. [2]  
 (b) Define 'land' as a factor of production. [1]  
 (c) Define 'capital' as a factor of production. [1]
- 4 (a) Define 'labour' as a factor of production. [1]  
 (b) Define 'enterprise' as a factor of production. [2]  
 (c) State the reward earned by each factor of production. [2]
- 5 (a) Define 'adding value'. [2]  
 (b) State the formula for added value. [1]  
 (c) Identify two ways a business can add value. [2]
- 6 (a) Define 'scarcity'. [2]  
 (b) Define 'opportunity cost'. [2]  
 (c) State why choice is necessary for a business. [1]
- 7 (a) Define 'economic activity'. [2]  
 (b) Explain 'the problem of choice'. [2]  
 (c) Give one example of opportunity cost for a business. [1]
- 8 (a) Define the 'dynamic business environment'. [2]  
 (b) State two factors that make the business environment dynamic. [2]  
 (c) Identify one opportunity that change can create. [1]
- 9 (a) State two reasons why businesses succeed. [2]  
 (b) State two reasons why businesses fail. [2]  
 (c) Identify the most common cause of failure for new firms. [1]
- 10 (a) Distinguish between a local and a national business. [2]  
 (b) Define an 'international business'. [1]  
 (c) Define a 'multinational business'. [2]
- 11 (a) Define 'entrepreneur'. [2]  
 (b) State three qualities of a successful entrepreneur. [3]
- 12 (a) Define 'intrapreneur'. [2]  
 (b) State two qualities an intrapreneur needs. [2]  
 (c) Distinguish between an entrepreneur and an intrapreneur. [2]

- 13 (a)** Define 'entrepreneurship'. [2]  
**(b)** State two roles of entrepreneurship in starting up a business. [2]
- 14 (a)** Define 'intrapreneurship'. [2]  
**(b)** State two ways intrapreneurship helps an established business. [2]
- 15 (a)** State three barriers to entrepreneurship. [3]  
**(b)** Identify one source of help available to entrepreneurs. [1]
- 16 (a)** Distinguish between risk and uncertainty. [2]  
**(b)** Give one example of a business risk. [1]  
**(c)** Give one example of uncertainty. [1]
- 17 (a)** State three ways business enterprise contributes to a country's development. [3]  
**(b)** Identify one negative effect enterprise can have on a country. [1]
- 18 (a)** Define 'business plan'. [2]  
**(b)** State the main purpose of a business plan. [2]
- 19** State four key elements typically found in a business plan. [4]
- 20 (a)** State two benefits of writing a business plan. [2]  
**(b)** State two limitations of a business plan. [2]

**KNOWLEDGE PAPER B2**

Suggested time: 35 minutes

**Business structure & size (Syllabus 1.2 & 1.3)****Total: 79 marks**

*Knowledge recall: economic sectors, types of business ownership, liability, measuring size, small & family businesses, and business growth.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[79 marks]**

*Answer all questions in this section.*

- 1 (a) Define the 'primary sector'. [1]  
 (b) Define the 'secondary sector'. [1]  
 (c) Define the 'tertiary sector'. [1]  
 (d) Define the 'quaternary sector'. [1]
- 2 (a) Distinguish between the private and public sectors. [2]  
 (b) Define 'privatisation'. [1]  
 (c) State one reason the tertiary sector grows as economies develop. [1]
- 3 (a) Define 'sole trader'. [2]  
 (b) State two advantages of being a sole trader. [2]
- 4 (a) Define 'partnership'. [2]  
 (b) State one advantage and one disadvantage of a partnership. [2]
- 5 (a) Define 'unlimited liability'. [2]  
 (b) Define 'limited liability'. [2]
- 6 (a) Define 'private limited company (Ltd)'. [2]  
 (b) State two features of a private limited company. [2]
- 7 (a) Define 'public limited company (plc)'. [2]  
 (b) State one advantage and one disadvantage of being a plc. [2]
- 8 (a) Define 'franchise'. [2]  
 (b) State the person who buys a franchise and the person who sells it. [2]
- 9 (a) Define 'co-operative'. [2]  
 (b) Define 'joint venture'. [2]
- 10 (a) Define 'social enterprise'. [2]  
 (b) State the three objectives of the triple bottom line. [3]
- 11 State four methods of measuring the size of a business. [4]
- 12 (a) State two advantages of being a small business. [2]  
 (b) State two disadvantages of being a small business. [2]
- 13 (a) State two strengths of a family business. [2]  
 (b) State two weaknesses of a family business. [2]
- 14 (a) Define 'organic (internal) growth'. [2]  
 (b) Define 'external growth'. [1]
- 15 (a) Distinguish between a merger and a takeover. [2]  
 (b) Distinguish between a friendly merger and a hostile takeover. [2]
- 16 (a) Define 'horizontal integration'. [2]  
 (b) Define 'conglomerate (diversifying) integration'. [2]

- 17 (a)** Define 'backward vertical integration'. **[2]**  
**(b)** Define 'forward vertical integration'. **[2]**
- 18 (a)** State two possible benefits of a merger or takeover. **[2]**  
**(b)** State one reason a takeover may fail to achieve its objectives. **[1]**
- 19 (a)** Define 'strategic alliance'. **[2]**  
**(b)** State one difference between a joint venture and a strategic alliance. **[2]**
- 20 (a)** State one advantage and one disadvantage of changing from a partnership to a private limited company. **[2]**  
**(b)** State the role of small businesses in the industrial structure of some industries. **[2]**

**KNOWLEDGE PAPER B3**

Suggested time: 35 minutes

**Business objectives & stakeholders (Syllabus 1.4 & 1.5)****Total: 77 marks**

*Knowledge recall: objectives in the private/public sectors, CSR, the mission–tactics hierarchy, decision-making, SMART, ethics and stakeholders.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[77 marks]**

*Answer all questions in this section.*

- 1 (a) Define 'business objective'. [2]  
(b) State two common objectives of a private-sector business. [2]
- 2 (a) State two objectives of a public-sector organisation. [2]  
(b) State one objective specific to a social enterprise. [1]  
(c) State why objectives are important to a business. [1]
- 3 (a) Define 'corporate social responsibility (CSR)'. [2]  
(b) State two examples of CSR in practice. [2]
- 4 (a) Define 'mission statement'. [2]  
(b) Define 'aims'. [1]
- 5 (a) Define 'strategy'. [2]  
(b) Define 'tactics'. [2]
- 6 Place these in order from broadest to most specific: objectives, mission, tactics, aims, strategy. [4]
- 7 (a) State what each letter of 'SMART' objectives stands for. [3]  
(b) State one benefit of setting SMART objectives. [1]
- 8 State the stages of business decision-making, in order. [4]
- 9 (a) Define 'business ethics'. [2]  
(b) State one way ethics might influence a business objective. [2]
- 10 (a) State two reasons a business's objectives might change over time. [2]  
(b) State how objectives are translated into departmental action. [2]
- 11 (a) Define 'stakeholder'. [2]  
(b) Distinguish between internal and external stakeholders. [2]
- 12 Identify whether each is internal or external: (i) employees, (ii) suppliers, (iii) shareholders, (iv) local community. [4]
- 13 (a) State two internal stakeholders of a business. [2]  
(b) State two external stakeholders of a business. [2]
- 14 (a) State one aim of shareholders as stakeholders. [1]  
(b) State one aim of employees as stakeholders. [1]  
(c) State one aim of customers as stakeholders. [1]  
(d) State one aim of the local community as a stakeholder. [1]
- 15 (a) State two rights of employees as stakeholders. [2]  
(b) State one responsibility of employees. [1]
- 16 (a) Define 'stakeholder conflict'. [2]  
(b) Give one example of stakeholder conflict. [2]

- 17 (a)** State what is meant by a business being 'accountable' to stakeholders. **[2]**  
**(b)** State one reason a business needs to be accountable to stakeholders. **[1]**
- 18 (a)** Define 'profit maximisation'. **[2]**  
**(b)** State why a start-up may focus on survival rather than profit. **[2]**
- 19 (a)** State two ways communicating objectives can affect the workforce. **[2]**  
**(b)** State one impact of changing objectives on stakeholders. **[2]**
- 20 (a)** Define 'budget' in the context of objectives. **[2]**  
**(b)** State the link between corporate and functional objectives. **[2]**

**KNOWLEDGE PAPER B4**

Suggested time: 35 minutes

**Human resource management (Syllabus 2.1)****Total: 76 marks**

*Knowledge recall: HRM roles, workforce planning, labour turnover, recruitment & selection, redundancy/dismissal, morale, training, and workforce relations.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[76 marks]**

*Answer all questions in this section.*

- 1 (a) Define 'human resource management (HRM)'. [2]  
(b) State two roles of HRM. [2]
- 2 (a) Define 'workforce plan'. [2]  
(b) State two factors considered in workforce planning. [2]
- 3 (a) Define 'labour turnover'. [2]  
(b) State the formula for labour turnover. [2]
- 4 (a) State two implications of high labour turnover. [2]  
(b) State one implication of very low labour turnover. [2]
- 5 (a) Distinguish between a job description and a person specification. [2]  
(b) State two methods of advertising a vacancy. [2]
- 6 (a) Distinguish between internal and external recruitment. [2]  
(b) State one advantage of internal recruitment. [1]  
(c) State one advantage of external recruitment. [1]
- 7 State four methods of selecting employees. [4]
- 8 (a) Define 'assessment centre'. [2]  
(b) State one advantage and one disadvantage of interviews. [2]
- 9 (a) Define 'employment contract'. [2]  
(b) State two items usually included in an employment contract. [2]
- 10 (a) Distinguish between redundancy and dismissal. [2]  
(b) Distinguish between voluntary and involuntary redundancy. [2]
- 11 (a) Define 'unfair dismissal'. [2]  
(b) Give one example of a fair reason for dismissal. [1]
- 12 (a) Define 'employee morale'. [2]  
(b) State two signs of low morale. [2]
- 13 (a) Define 'work–life balance'. [2]  
(b) State two ways to improve employees' work–life balance. [2]
- 14 (a) Define 'diversity' in the workplace. [2]  
(b) State one benefit of workplace diversity. [1]
- 15 (a) Define 'induction training'. [2]  
(b) Distinguish between on-the-job and off-the-job training. [2]
- 16 (a) State one advantage of on-the-job training. [1]  
(b) State one advantage of off-the-job training. [1]  
(c) State one drawback of training for a business. [1]



- 17 (a)** Define 'multi-skilling'. **[2]**  
**(b)** Define 'employee development'. **[2]**
- 18 (a)** Define 'trade union'. **[2]**  
**(b)** Define 'collective bargaining'. **[2]**
- 19 (a)** State one benefit to employees of trade union membership. **[1]**  
**(b)** State one benefit to an employer of dealing with a union. **[1]**  
**(c)** State one consequence of poor management–workforce relations. **[1]**
- 20 (a)** State two ways cooperation between management and workforce benefits a business. **[2]**  
**(b)** State how employee development can encourage intrapreneurship. **[2]**

**KNOWLEDGE PAPER B5**

Suggested time: 35 minutes

**Motivation & management (Syllabus 2.2 & 2.3)****Total: 78 marks**

*Knowledge recall: motivation theories (Taylor, Mayo, Maslow, Herzberg, McClelland, Vroom), financial & non-financial motivators, management functions and styles.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[78 marks]**

*Answer all questions in this section.*

- 1 (a) Define 'motivation'. [2]  
(b) State two benefits to a business of a motivated workforce. [2]
- 2 (a) Outline Taylor's theory of motivation. [3]  
(b) State one criticism of Taylor's approach. [1]
- 3 (a) Outline the main finding of Mayo's Hawthorne studies. [3]  
(b) State one way to apply Mayo's ideas. [1]
- 4 List the five levels of Maslow's hierarchy of needs, lowest to highest. [4]
- 5 (a) Give one workplace example of a 'physiological' need being met. [1]  
(b) Give one workplace example of an 'esteem' need being met. [1]  
(c) Give one workplace example of a 'self-actualisation' need being met. [1]
- 6 (a) Distinguish between Herzberg's motivators and hygiene factors. [2]  
(b) Give two examples of hygiene factors. [2]
- 7 (a) State McClelland's three needs. [3]  
(b) State one implication of McClelland's theory for managers. [1]
- 8 (a) State the three components of Vroom's expectancy theory. [3]  
(b) State what 'valence' means. [1]
- 9 (a) Define 'job enrichment'. [2]  
(b) Distinguish between job enrichment and job enlargement. [2]
- 10 State four financial methods of payment/reward. [4]
- 11 (a) Distinguish between piece rate and time rate. [2]  
(b) Define 'commission'. [1]  
(c) Define 'fringe benefits'. [1]
- 12 State four non-financial methods of motivation. [4]
- 13 (a) Define 'empowerment'. [2]  
(b) Define 'delegation'. [1]  
(c) State one way employees can participate in management. [1]
- 14 State the four functions of management identified by Fayol. [4]
- 15 (a) State the three categories of management roles identified by Mintzberg. [3]  
(b) Give one example of an interpersonal role. [1]
- 16 (a) Define 'autocratic' management style. [1]  
(b) Define 'democratic' management style. [1]  
(c) Define 'laissez-faire' management style. [1]  
(d) Define 'paternalistic' management style. [1]

- 17 (a)** Outline McGregor's Theory X view of workers. **[2]**  
**(b)** Outline McGregor's Theory Y view of workers. **[2]**
- 18 (a)** State one situation where an autocratic style is suitable. **[1]**  
**(b)** State one situation where a laissez-faire style is suitable. **[1]**  
**(c)** State one benefit of a democratic style. **[1]**
- 19 (a)** Define 'leadership'. **[2]**  
**(b)** State one difference between a manager and a leader. **[2]**
- 20 (a)** State two ways a manager contributes to business performance. **[2]**  
**(b)** State one benefit of using financial and non-financial motivators together. **[2]**

**KNOWLEDGE PAPER B6**

Suggested time: 35 minutes

**Nature of marketing & market research (Syllabus 3.1 & 3.2)****Total: 75 marks**

*Knowledge recall: marketing objectives, demand & supply, markets, mass/niche, segmentation, CRM and market research.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[75 marks]**

*Answer all questions in this section.*

- 1 (a) Define 'marketing'. [2]  
 (b) Define 'marketing objective'. [1]  
 (c) State the link between marketing and corporate objectives. [1]
- 2 (a) State two factors that influence demand for a product. [2]  
 (b) State two factors that influence supply of a product. [2]
- 3 (a) Define 'equilibrium price'. [2]  
 (b) State what happens to price if demand rises while supply is unchanged. [1]  
 (c) State what happens to price if supply rises while demand is unchanged. [1]
- 4 (a) Distinguish between a consumer market and an industrial market. [2]  
 (b) State what B2C and B2B stand for. [2]
- 5 (a) Distinguish between product orientation and market orientation. [2]  
 (b) State one risk of being product-orientated. [1]  
 (c) State one benefit of being market-orientated. [1]
- 6 (a) Define 'market share'. [2]  
 (b) State the formula for market share. [2]
- 7 (a) Define 'market growth'. [2]  
 (b) State one implication of a rising market share. [1]
- 8 (a) Distinguish between mass marketing and niche marketing. [2]  
 (b) State one advantage of niche marketing. [1]  
 (c) State one advantage of mass marketing. [1]
- 9 (a) Define 'market segmentation'. [2]  
 (b) State the three main methods of segmentation. [3]
- 10 (a) Give one example of demographic segmentation. [1]  
 (b) Give one example of geographic segmentation. [1]  
 (c) Give one example of psychographic segmentation. [1]
- 11 (a) State one advantage of market segmentation. [1]  
 (b) State one disadvantage of market segmentation. [1]  
 (c) Define 'target market'. [1]
- 12 (a) Define 'customer relationship marketing (CRM)'. [2]  
 (b) State one benefit and one cost of CRM. [2]
- 13 (a) Define 'market research'. [2]  
 (b) State two purposes of market research. [2]
- 14 (a) Distinguish between primary and secondary research. [2]  
 (b) State one advantage of primary research. [1]  
 (c) State one advantage of secondary research. [1]

- 15** State four methods of primary research. [4]
- 16** (a) State two sources of secondary research. [2]  
(b) State one limitation of secondary data. [1]
- 17** (a) Define 'sample'. [2]  
(b) State one reason sampling is necessary. [1]  
(c) State one limitation of sampling. [1]
- 18** (a) Distinguish between quantitative and qualitative data. [2]  
(b) State one reason a business uses both types. [2]
- 19** (a) Define the 'reliability' of data. [2]  
(b) State one factor that reduces reliability of research data. [1]
- 20** (a) State two ways data can be presented visually. [2]  
(b) State one benefit of presenting data in charts. [1]

**KNOWLEDGE PAPER B7****The marketing mix (Syllabus 3.3)**

Suggested time: 35 minutes

**Total: 75 marks**

*Knowledge recall: the 4Ps, product & product portfolio (PLC, Boston Matrix), pricing methods, promotion, branding, packaging and place.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[75 marks]**

*Answer all questions in this section.*

- 1 (a) State the 4Ps of the marketing mix. [2]  
(b) State why the elements of the marketing mix must be consistent. [2]
- 2 (a) Distinguish between a good and a service. [2]  
(b) Distinguish between tangible and intangible product attributes. [2]
- 3 (a) Define 'unique selling point (USP)'. [2]  
(b) Define 'product differentiation'. [1]  
(c) State one benefit of product development. [1]
- 4 State the stages of the product life cycle, in order. [4]
- 5 (a) Define 'extension strategy'. [2]  
(b) State two extension strategies. [2]
- 6 State the four categories of the Boston Matrix. [4]
- 7 (a) Describe a 'cash cow'. [2]  
(b) Describe a 'star'. [2]
- 8 (a) Describe a 'question mark' (problem child). [2]  
(b) Describe a 'dog'. [2]
- 9 (a) Define 'penetration pricing'. [2]  
(b) Define 'price skimming'. [2]
- 10 (a) Define 'cost-based (cost-plus) pricing'. [2]  
(b) Define 'competitive pricing'. [1]  
(c) Define 'psychological pricing'. [1]
- 11 (a) Define 'price discrimination'. [2]  
(b) Define 'dynamic pricing'. [2]
- 12 (a) State two objectives of promotion. [2]  
(b) Distinguish between above-the-line and below-the-line promotion. [2]
- 13 State four methods of promotion. [4]
- 14 (a) Give two examples of sales promotion. [2]  
(b) State one example of a digital promotion method. [1]
- 15 (a) State one benefit of digital promotion. [1]  
(b) State one drawback of digital promotion. [1]  
(c) State one benefit of traditional advertising (e.g. TV). [1]
- 16 (a) Define 'branding'. [2]  
(b) State two benefits of strong branding. [2]
- 17 (a) State two roles of packaging. [2]  
(b) State one way packaging can be a USP. [1]

- 18 (a)** Define 'place' (in the marketing mix). **[2]**  
**(b)** Distinguish between digital and physical distribution. **[2]**
- 19 (a)** State two channels of distribution a manufacturer could use. **[2]**  
**(b)** State one benefit to a manufacturer of selling directly online. **[1]**
- 20 (a)** State two factors a business considers when choosing a distribution channel. **[2]**  
**(b)** State one use of the Boston Matrix. **[1]**

**KNOWLEDGE PAPER B8****Operations management (Syllabus 4)**

Suggested time: 35 minutes

**Total: 73 marks**

*Knowledge recall: the transformation process, efficiency/productivity/sustainability, production methods, inventory, JIT, capacity utilisation and outsourcing.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[73 marks]**

*Answer all questions in this section.*

- 1 (a) Define the 'transformational process'. [2]  
(b) State what is meant by 'inputs' and 'outputs'. [2]
- 2 (a) Distinguish between efficiency and effectiveness. [2]  
(b) Define 'productivity'. [1]  
(c) Define 'sustainability' in operations. [1]
- 3 (a) Define 'labour productivity'. [2]  
(b) State the formula for labour productivity. [2]
- 4 (a) Distinguish between capital-intensive and labour-intensive operations. [2]  
(b) State one benefit of capital-intensive production. [1]  
(c) State one benefit of labour-intensive production. [1]
- 5 (a) Define 'job production'. [2]  
(b) Define 'batch production'. [2]
- 6 (a) Define 'flow production'. [2]  
(b) Define 'mass customisation'. [2]
- 7 (a) State one advantage of job production. [1]  
(b) State one advantage of flow production. [1]  
(c) State one problem of changing from batch to flow production. [1]
- 8 State the three types of inventory held by a manufacturer. [3]
- 9 (a) Define 'buffer inventory'. [2]  
(b) Define 'lead time'. [1]  
(c) Define 're-order level'. [1]
- 10 (a) State two costs of holding inventory. [2]  
(b) State two benefits of holding inventory. [2]
- 11 (a) Define 'Just in Time (JIT)'. [2]  
(b) Define 'Just in Case (JIC)'. [2]
- 12 (a) State one benefit of JIT. [1]  
(b) State one risk of JIT. [1]  
(c) State one requirement for JIT to work. [1]
- 13 (a) Define 'supply chain management'. [2]  
(b) State one benefit of effective supply chain management. [1]
- 14 (a) Define 'capacity utilisation'. [2]  
(b) State the formula for capacity utilisation. [2]
- 15 (a) State one problem of operating at very low capacity utilisation. [1]  
(b) State one problem of operating at (or above) full capacity for long. [1]  
(c) State one way to improve low capacity utilisation. [1]



- 16 (a)** Define 'rationalisation'. [2]  
**(b)** State why higher capacity utilisation lowers unit costs. [2]
- 17 (a)** Define 'outsourcing'. [2]  
**(b)** State one benefit of outsourcing. [1]  
**(c)** State one drawback of outsourcing. [1]
- 18 (a)** State two measures that could improve the sustainability of operations. [2]  
**(b)** State one benefit to a business of more sustainable operations. [1]
- 19 (a)** State one way to increase a business's capacity. [1]  
**(b)** State how productivity and unit costs are linked. [2]
- 20 (a)** State how added value is created in operations. [2]  
**(b)** State one way to read an inventory control chart. [2]

**KNOWLEDGE PAPER B9**

Suggested time: 35 minutes

**Business finance, sources & cash flow (Syllabus 5.1–5.3)****Total: 72 marks**

*Knowledge recall: the need for finance, cash vs profit, working capital, internal & external sources of finance, and cash flow forecasts.*

*Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].*

**SECTION K – Knowledge-recall questions****[72 marks]**

*Answer all questions in this section.*

- 1 (a) State two reasons a business needs finance. **[2]**  
 (b) Distinguish between a short-term and long-term need for finance. **[2]**
- 2 (a) Distinguish between cash and profit. **[2]**  
 (b) State one reason a profitable business can run out of cash. **[1]**  
 (c) Define 'insolvency'. **[1]**
- 3 (a) Define 'bankruptcy'. **[1]**  
 (b) Define 'liquidation'. **[1]**  
 (c) Define 'administration'. **[2]**
- 4 (a) Define 'working capital'. **[2]**  
 (b) State the working capital formula. **[1]**
- 5 (a) Distinguish between trade receivables and trade payables. **[2]**  
 (b) State one way to reduce trade receivables. **[1]**
- 6 (a) Distinguish between capital and revenue expenditure. **[2]**  
 (b) Give one example of each. **[2]**
- 7 State four internal sources of finance. **[4]**
- 8 (a) Define 'retained earnings'. **[2]**  
 (b) State one advantage of using retained earnings. **[1]**
- 9 State four external sources of finance. **[4]**
- 10 (a) Define 'share capital'. **[2]**  
 (b) Define 'debenture'. **[2]**
- 11 (a) Distinguish between a bank loan and a bank overdraft. **[2]**  
 (b) State one situation where an overdraft is suitable. **[1]**
- 12 (a) Define 'leasing'. **[2]**  
 (b) Define 'hire purchase'. **[2]**
- 13 (a) Define 'trade credit'. **[2]**  
 (b) Define 'debt factoring'. **[2]**
- 14 (a) Define 'venture capital'. **[2]**  
 (b) Define 'crowdfunding'. **[2]**
- 15 (a) Define 'microfinance'. **[2]**  
 (b) Define 'government grant'. **[1]**
- 16 State four factors that affect the choice of a source of finance. **[4]**
- 17 (a) State how the form of ownership affects finance available. **[2]**  
 (b) State one source of finance suitable for a sole trader. **[1]**

- 18 (a)** Define 'cash flow forecast'. **[2]**  
**(b)** Define 'net cash flow'. **[1]**
- 19 (a)** State how to calculate the closing cash balance. **[2]**  
**(b)** State the link between the closing balance and the next opening balance. **[1]**
- 20** State four ways a business could improve its cash flow. **[4]**

**KNOWLEDGE PAPER B10**

Suggested time: 35 minutes

**Costs, break-even, budgets & variances (Syllabus 5.4 & 5.5)****Total: 70 marks***Knowledge recall: types of cost, full & contribution costing, break-even analysis, budgets and variances.**Answer ALL questions from memory. These questions test knowledge and understanding (AO1). The number of marks is given in brackets [ ].***SECTION K – Knowledge-recall questions****[70 marks]***Answer all questions in this section.*

- 1 (a) Define 'fixed costs'. [1]  
 (b) Define 'variable costs'. [1]  
 (c) Distinguish between direct and indirect costs. [2]
- 2 (a) Define 'total cost'. [1]  
 (b) Define 'average (unit) cost'. [1]  
 (c) Define 'marginal cost'. [2]
- 3 (a) State why accurate cost information is important. [2]  
 (b) State one use of cost information. [1]
- 4 (a) Distinguish between full costing and contribution costing. [2]  
 (b) State one limitation of full costing. [1]
- 5 (a) Define 'contribution per unit'. [2]  
 (b) State the formula for total contribution. [1]
- 6 (a) Distinguish between contribution and profit. [2]  
 (b) State one situation where contribution costing is useful. [2]
- 7 (a) Define 'break-even level of output'. [2]  
 (b) State the formula for break-even output. [2]
- 8 (a) Define 'margin of safety'. [2]  
 (b) State the formula for margin of safety. [1]
- 9 A firm has fixed costs of \$30,000, price \$20 and variable cost \$8. State the contribution per unit and the break-even output. [4]
- 10 (a) State two uses of break-even analysis. [2]  
 (b) State two limitations of break-even analysis. [2]
- 11 (a) State what the break-even point is on a break-even chart. [2]  
 (b) State what the area beyond break-even (up to current output) represents. [1]
- 12 (a) Explain how contribution helps a special-order decision. [2]  
 (b) State one situation where contribution costing should not be used for pricing. [1]
- 13 (a) Define 'budget'. [2]  
 (b) State two purposes of budgeting. [2]
- 14 (a) Define 'incremental budget'. [2]  
 (b) Define 'zero-based budget'. [2]
- 15 (a) Define 'flexible budget'. [2]  
 (b) State one advantage of zero-based budgeting. [1]
- 16 State four uses of budgets. [4]
- 17 (a) Define 'variance'. [2]  
 (b) Distinguish between a favourable and an adverse variance. [2]

- 18** Budgeted cost was \$50,000; actual cost was \$57,000. State the variance and its type. **[3]**
- 19** Budgeted revenue was \$120,000; actual revenue was \$135,000. State the variance and its type. **[3]**
- 20 (a)** State one benefit of investigating variances. **[1]**
- (b)** State why a favourable variance is not always good. **[2]**